Strategic Choice Theory
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The Industrial Revolution began in the late 18th and early 20th centuries during one of the major paradigm shifts in technology, socio-economic, and cultural change. That revolution spurred factory workers and their machines to do more. The result was a scientific technique for efficiency in production, management procedures, and organizational structure (Marion, p. 21). The organizational structure in those earlier days was simple, and decisions were straightforward. In today's environment, it operates in a much more complex, dynamic, and bureaucratic context, dependent on many factors, including organization, competition, governance, and culture. The decision-making process is much more difficult. A leader is not only skilled in scientific management theory but also in decision-making skills. The Strategic Choice theory is a decision-making theory rooted in the Open Systems theory and the Anti-Positivistic theory. Its systems model was widely accepted in the 1960s and 1970s (Marion, p. 167).

In our first-class meeting, the question was asked to name a leader and a characteristic of their traits. The list of names mentioned was mostly all famous and well-known world leaders. Among many of the leadership qualities as expected in a leader include effective communicator, listen skills, role model, mentor, organizer, charismatic, intellectual, practical, personally, integrity, playful, efficiency, fairness, humanity, ambitious, boundary, focus, peace keeper, problem-solver, humble, ethical, visionary, inspiring, conflict resolution, patience, pragmatic, well educated, hard-work, honest, ethical, and etc. Two of the names mentioned were U.S. Presidents Bill Clinton and Jimmy Carter. According to their biographies, both presidents had made many difficult decisions, and those decisions were also criticized. Surely, all decisions made are considered rational in each decision, and because of the inherent complexity of the environment and the nature of uncertainties, it's just too complex for rationality. There will be times that a president or any leader has to rely on his/her discretion and preferences in the decision-making process- experiences, power preferences, ego preferences, growth preferences, etc. Such preferences are consciously nonscientific and usurping rationality. Even the most educated professionals and powerful leaders are known to make wrong decisions, and the factors at play are personal, impersonal, and external. As human beings, we are bound to make mistakes, sometimes unconsciously letting our personal preferences get in the way.

Unlike other theories, Strategic Choice theory assumes that a leader has significant choice about how to structure and run organizations of his/her discretion. A typical decision starts with consideration of the relevant external forces that affect it. A changing external environment induces a leader to make adjustments to their idiosyncratic preferences- nonrational. A decision is made based on these adjustments; the range of options is well thought out, filtered, and constrained — by values, beliefs, experiences, and leadership styles.

Marion discusses several theories that influence Strategic Choice theory. Two of the theories focus on the idiosyncratic nature of specific human preferences. The first theory is Critical theory — power and control preferences. The second is Institutionalism — legitimacy preference. These two theories are derivatives of Strategic Choice theory.

The other three theories discuss the relevant forces in the external environment. These external forces are beyond the control of individuals. Cultural theory addresses social and cultural needs. Population Ecology theory addresses the stochastic forces of natural selection. The last of the external forces is Complexity theory — forces associated with network interactions. Strategic Choice theory is influenced by both personal preference and impersonal forces (Marion, p. 166).

In college or any organization, a decision is embedded somewhere between variables in the organization, behavior, and forces in the external environment. Sounding a lot like Situational theory, a decision is predictable if the right adjustments are made. There are various adjustment methods to decision-making, applying loosely coupled, tightly coupled, or a combination of both coupling and stability. Somewhere in between, there exists a right decision for each given situation and its environment.

There is a question about the validity of Strategic Choice theory. Is it a theory or just an intuition? If it's not based on nomothetic or ideographic approaches, then it's not scientific; therefore, decision-making through this process is fraudulent and irrational. Perhaps Blink is also right about intuitive thinking in the decision-making process too. In any case, it's a theory that helps leaders and decision-makers understand that external forces and personal preferences influence their decision-making, and that this process can be highly biased. A leader is just a human being, and he can be irrational, but he is the final decision-making authority. This theory can be improved by marrying it with other scientific management theories— such as Closed Systems theory, Machine theory, Human Relations, Structuralism, Open Systems theory, Contingency theory, Critical theory, Complexity theory, etc. In closing, the things that make leaders stand out from the crowd are their ability to make difficult decisions and to have a positive impact on people's lives.

References

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